

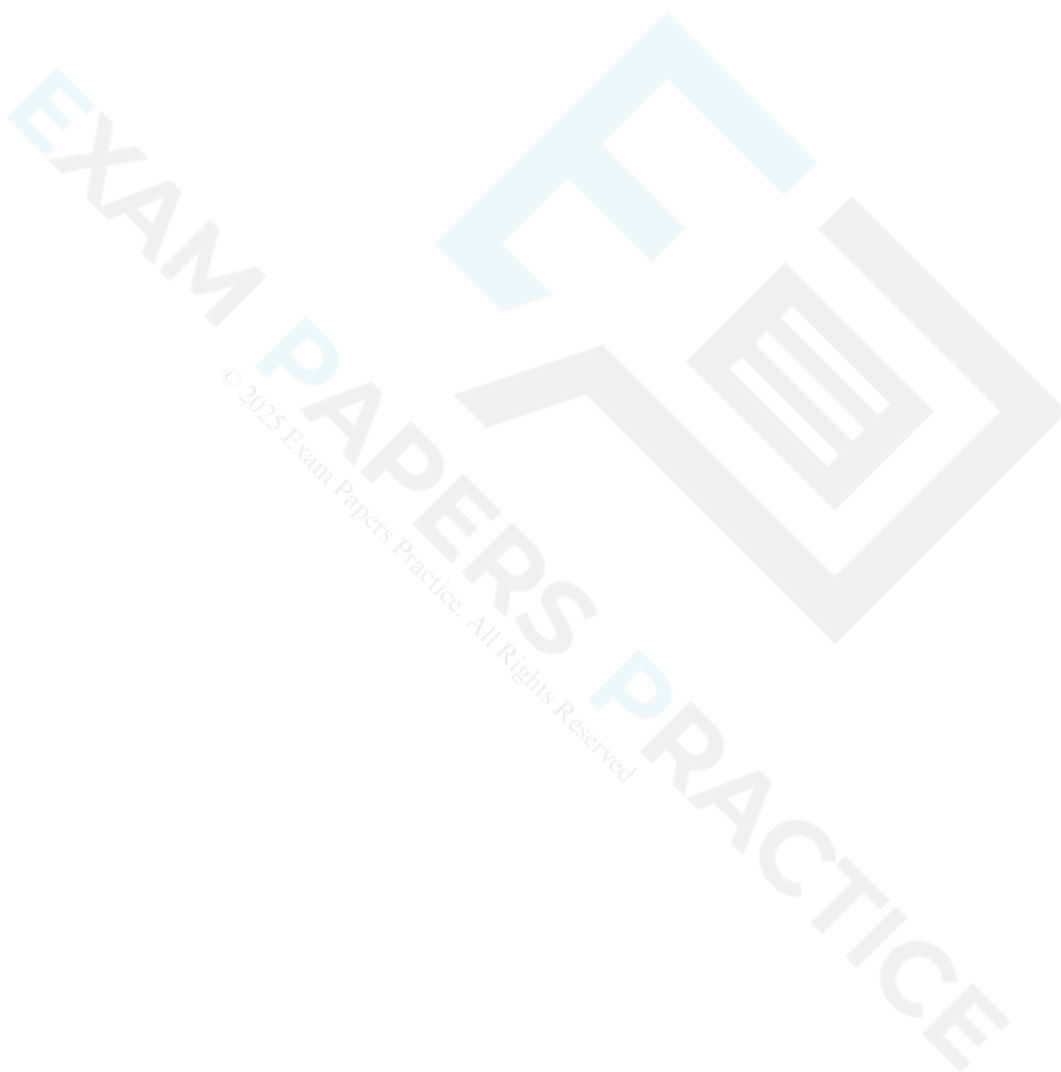


**1.****Issues and areas for discussion include:**

Introduction	• meaning of 'differentials' • measurement of inequality • types of intervention (eg min/max wage).
Developing the response to the question Application/ Analysis	Application • candidate knowledge of, eg • inequality in the UK • recent issues, eg 'bonus culture' • the argument that inequality is economically dysfunctional. Analysis • arguments in favour of differentials, eg ◦ incentive arguments ◦ trickle-down ◦ encouraging enterprise ◦ encouraging work rather than welfare promoting efficient resource allocation • arguments for government action ◦ market failure ◦ counter-arguments to trickle-down ◦ general disadvantages of inequality (micro/macro). • examples of government action affecting equality, eg ◦ income/wealth taxes ◦ encouraging/discouraging a bonus culture ◦ minimum/maximum wages/ratios between top and medium pay • effects of government action, eg on patterns of spending (synoptic macro point: mpc and mps of low/high income groups) • the role of the government as an employer.
Evaluation	• overall assessment of whether inequality is 'good' for the economy • possible economic disfunctions of inequality (eg negative externalities, social costs, inflationary pressures, recession) • costs versus benefits of government action/inaction • equality of opportunity versus equality of outcome • equity, efficiency • market failure versus government failure • long run versus short run. <i>Examiners should note that, for some of the weaker or average students, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• diagrams • an overall judgement on the issues raised. • examples.

It will only be possible for students to consider a few of the above. They may also discuss issues not discussed above.

[25]



Issues and areas for discussion include

Introduction	• Links between the quotation and economic issues that are contested e.g: ◦ Positive/ negative externalities ◦ Consumer choice/ monopoly power ◦ Food security/ distributive issues
Developing the response to the question	• Arguments for government support of production and use, e.g: ◦ Consumer sovereignty (assuming consumers want them) ◦ Efficiency arguments ◦ The need to feed a rapidly expanding population ◦ The need for technical progress ◦ Alleged external benefits • Arguments against, e.g: ◦ Consumer sovereignty (European consumers appear not to want them) ◦ Market failures such as Environmental damage, Other negative externalities such as damage to organics; health concerns, Monopolistic practices, Asymmetric information ◦ Government failure
Evaluation	• Market failure versus government failure • Consideration of whether consumers/governments/farmers have sufficient information, or whether they are influenced by the media, pressure groups and interested parties (both for and against GM crops) • Very perceptive and aware candidates might discuss whether the word 'support' in the question simply means 'allow' or 'facilitate' or whether there is an argument about actively encouraging GM growers, e.g. through subsidy. • Discussing whether intervention: is likely to correct or reduce any perceived market failure, eg the negative externalities produced by petrol/diesel fuelled cars; might lead to government failure; might increase or reduce economic efficiency; might increase or reduce economic welfare. <i>Examiners should note that it may be possible to award some marks for basic evaluation such as consideration of a number of pros and cons. However, this must be considered as low-level evaluation and rewarded accordingly. Stronger evaluation would prioritise the arguments for and against, and/or give economic reasons for justifying a particular policy decision.</i>

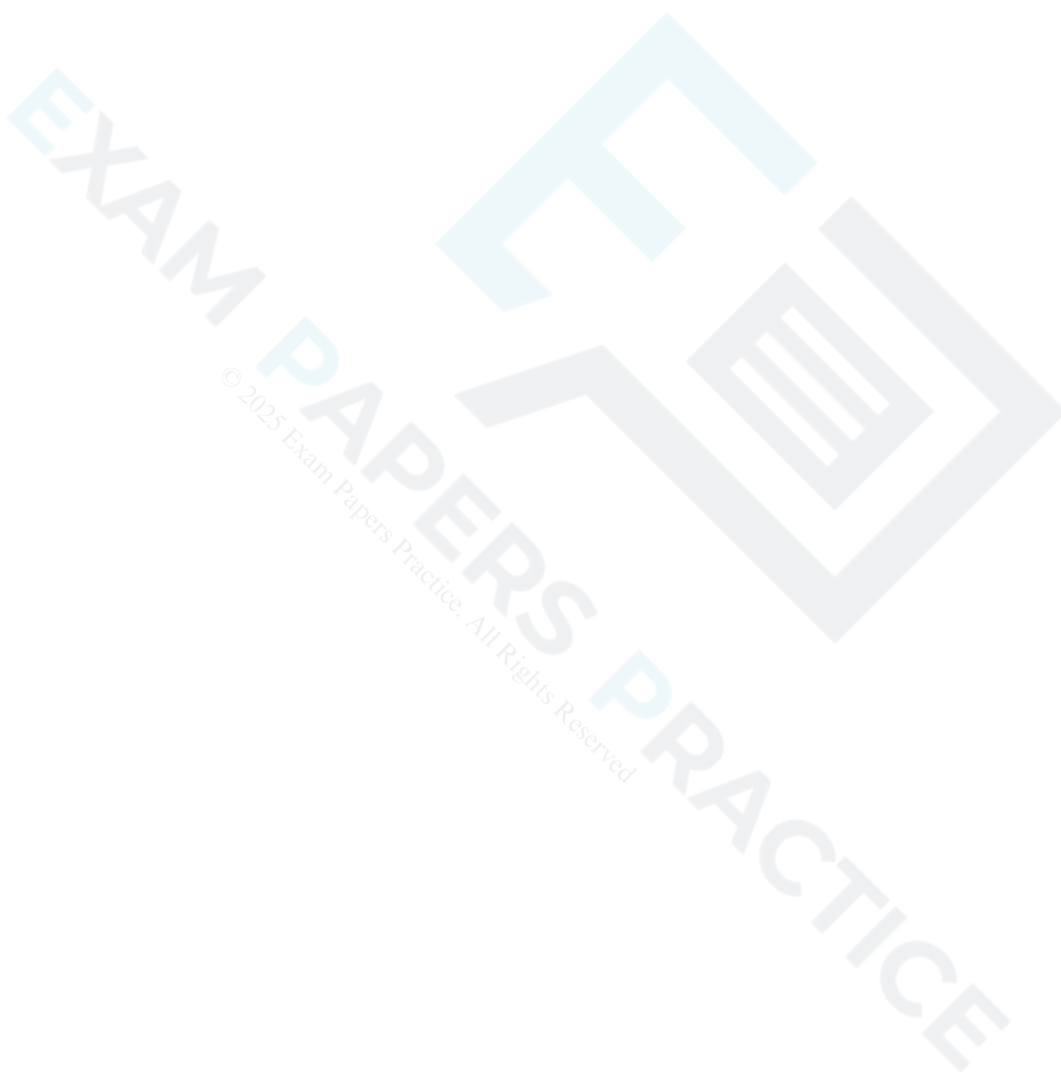


Also give credit for:

- relevant use of evidence and examples not contained in the data
- diagrams
- an overall judgement on the issues raised

It will only be possible for candidates to consider a few of the above. They may also discuss issues not discussed above

[25]





4.

Issues and areas for discussion include:

Introduction	• Description of 'market forces' in housing • Tenures • Subsidies • Intervention methods.
Developing the response to the question: (Application)	• Comments from own economic knowledge or based on the data, e.g. ◦ Supply and demand theory ◦ Relationship between new houses (the flow) and existing houses (the stock). The flow is small in relation to the stock; therefore, house building has little immediate effect on prices. ◦ Data hints that the distinction between social and private housing is muddled (Extract E). Students might mention the bedroom tax (as a 'withdrawal of subsidy') in a relevant way • Further discussion of Extract D, e.g. ◦ Rise in homes owned outright, with fall in mortgages, indicates possible validity of the quote about Germany ◦ Fall in social housing, together with fall in mortgages and rise in private renting indicates right to buy has led to a rentier class rather than a nation of individual owner occupiers. • Tenure and types of housing, Extract E • Houses and equality, Extract F.
Developing the response to the question: (Analysis)	• Basic reasons why governments of developed countries are involved in provision of housing. • Arguments for intervention, e.g. ◦ market failure ◦ externalities ◦ need for price stabilisation ◦ imperfect information ◦ mobility of labour ◦ income and wealth distribution. • Arguments against, e.g. ◦ rationing/signaling ◦ consumer choice ◦ opportunity costs (pressure on government budgets) ◦ efficiency ◦ problems with government failure, e.g. poor town and country planning.

Evaluation	• Market failure versus government failure • Consequences of government involvement (e.g. costs to the taxpayer) versus consequences of non-involvement (e.g. costs to the consumer and to society) • Unintended consequences (e.g. Help to Buy being used by private landlords rather than first time buyers) • Discussion of the clear distinction between the flow of newly built houses and the stock of existing houses • Alternatives to house building/'predict and provide', the argument that supply of houses creates its own demand; alternatives (e.g. town centre living) • Critical assessment of the movement from council houses towards private renting, and from directly subsidised rents to the use of housing benefits. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss issues not discussed above

[25]

**5.**

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction:	• an explanation of the problems in terms of MSC / MSB analysis • a clean environment as a public good • environment can be damaged by market forces (ozone layer, coal tips) • environment can be protected by market forces (property rights / the 'tragedy of the commons') • polluting activities and demerit goods.
Developing a response to the question:	• What markets can do alone, eg ◦ Treat a clean environment as a scarce resource ◦ Supply and demand, price incentives ◦ Assertion of property rights • How markets can be 'nudged' by government, eg ◦ Carbon trading / pollution permits ◦ Road pricing ◦ Taxation (the polluter pays) ◦ Creation of property rights where they do not exist ◦ Creation / assertion of communal / societal rights (eg a right to clean air) • How markets can be 'nudged' by government, eg ◦ Command and control methods ◦ Bans and regulations • command and control versus market based policies
Evaluation:	• market failure and government failure • equity implications of reliance on markets (eg costs and benefits might accrue to different people / groups / countries).
Also give credit for:	• reference to the UK and / or other economies • diagrams

[25]

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction	• basic meaning of merger • different types of merger (data refers to 'horizontal') • possible motives for merger: market share, growth, economies of scale, efficiency gains, monopoly power
Developing the response to the question:	• Reasons why mergers might be good for customers / passengers, eg: ◦ Lower prices, due to eg economies of scale, aircraft working closer to capacity ◦ Wider range of product / services ◦ Synergies, more integrated services (data refers to intra-EU, and EU-America services) • Reasons why they might be bad ◦ Higher prices, due to eg reduced competition ◦ Less choice ◦ Loss of consumer surplus • Reasons why mergers might be good for producers / airlines, eg: ◦ Economies of scale, lower costs, greater efficiency ◦ Rationalisation ◦ Less competition, higher profits ◦ Long run, dynamic efficiency, greater market power • Reasons why they might be bad, eg: ◦ Might attract attention of regulators (EU Commission mentioned in data) ◦ Monopoly, inertia, loss of efficiency
Evaluation	• costs versus benefits of merger • discussion of government role in regulating mergers • market failure versus government failure • short-run versus long-run perspectives. Examiners should note that it may be possible to award some marks for basic evaluation such as consideration of a number of pros and cons. However, this must be considered as low-level evaluation and rewarded accordingly. Stronger evaluation would prioritise the benefits and costs, and / or give economic reasons for justifying a judgement on, for example whether benefits generally outweigh costs.

Also give credit for:

- relevant use of evidence and examples not contained in the data
- diagrams
- an overall judgement on the issues raised

[25]

8.

For candidates who:

Explain 'public ownership', eg:

- in terms of a business or organisation that is owned by the state / taxpayer / the community.
- and might take the form of eg a nationalised industry, government department, majority shareholding, public corporation, public / private partnership.
- examples: BBC, Royal Mail, etc.

Analyse **two** reasons, in terms of airline or another appropriate example, eg:

- airlines tend to be monopolistic and could therefore exploit monopoly power with lower output and raised prices and public ownership is one way of dealing with monopoly.
- air travel underpins other aspects of a modern economy (transport, aerospace etc) and is therefore too important for strategic economic reasons to be left to the private sector
- 'commanding heights arguments' or their modern variant : 'too big to fail'
- airlines are 'flag carriers' and important businesses in terms of national prestige / image building; they support a great deal of employment, both directly and indirectly.
- aircraft pass over sovereign territories so there are issues of international coordination and security matters, and these are better dealt with by government than by the private sector
- efficiency, including allocative, productive, dynamic.

Make use of a suitable diagram in the analysis

[9]

**9.**

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction	• meaning of environmental market failure) • examples of supply-side policies • reasons why landfill exemplifies market failure, eg missing markets for recycled products, negative externalities, local / national decisions favouring landfill over its alternatives
Developing the response to the question	• general policies, e.g: ◦ market-based policies ◦ command-and-control policies • specific methods / strategies, eg reduction, re-use, recovery, recycling, disposal (alternative methods of, eg landfill, incineration) • specific policies (some but not all mentioned in the data) aimed at supporting these methods / strategies, eg: ◦ landfill tax (polluter pays / market based) ◦ fines for dumping (command-and-control) ◦ subsidies for favoured recycling schemes ◦ targets for re-cycling ◦ subsidies / carrot and stick approaches • the alternative of non-intervention / allowing markets to work (the extract mentions market forces and price signals in scrap metals and suggests that a market for 'mined' recyclables from landfill could emerge in due course).
Evaluation	• comment on scarce / finite resources and the possibility of re-cycling in the case of metals, so that they become, in a sense, 'renewable' • role of government / legal sanctions • market failure versus government failure • the need for international / global action • pros and cons of particular policies, eg composting, incineration. Examiners should note that it may be possible to award some marks for basic evaluation such as consideration of a number of pros and cons. However, this must be considered as low-level evaluation and rewarded accordingly. Stronger evaluation would prioritise the arguments for and against, and / or give economic reasons for justifying a particular course of action.



Also give credit for:

- relevant use of evidence and examples not contained in the data
- diagrams
- an overall judgement on the issues raised

[25]



Issues and areas for discussion include:

Introduction	• definitions/descriptions of ◦ privatisation ◦ public-private partnership (PPP).
Developing the response to the question: Application	• Evidence from the data used to support arguments for or against privatisation, e.g. references to ◦ competition ◦ concentration ◦ strategic industry ◦ public/private partnerships ◦ need for coordination across government levels ◦ environmental considerations ◦ employment.
Developing the response to the question: Analysis	• general arguments FOR privatisation, e.g. privatisation increases efficiency because the organisation becomes accountable to shareholders instead of politicians/taxpayers and therefore has to focus on profits. • general arguments AGAINST, e.g. an organisation of this type needs to have wider social objectives as well as narrow commercial objectives; the large capital costs and the strategic nature of LNG make it appropriate for the state to intervene. • reasons for the PPP format, e.g. to supply funds in the national interest; to negotiate enforceable contracts with foreign governments • reasons why the MHPA's activities might create negative externalities and impact of state versus private control.
Evaluation	• effects on competition and consumer choice can go either way; could possibly reduce competition and choice • spill-over effects from LNG industry creating costs for others in the area, e.g. tourism • possibility of market failure • possibility of government failure, e.g. wrongly predicting the market for energy • knock-on effects on the labour market • conflict of policies, e.g. with renewable energy • critique of the PPP format, e.g. may lead to ◦ inefficiency ◦ monopoly



	• impact of regulation <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• relevant use of evidence and examples not contained in the data • relevant diagrams • an overall judgement on the issues raised.

[25]



Issues and areas for discussion include:

Introduction	• reasons why oligopolists might be considered to need regulation, eg ◦ complex monopoly ◦ anti-competitive practices ◦ allocative inefficiency.
Developing the response to the question: Application / Analysis	• policy options, advantages and disadvantages, eg ◦ ending oligopoly, breaking up larger firms into smaller ones ◦ amending oligopoly ▪ policing collusive activities, fining colluding companies (the EU approach) ▪ use of criminal law (the US approach) ▪ administrative means for investigating monopolies and mergers (the traditional UK approach) ▪ preventing potential monopolies becoming actual monopolies by restricting merger activity among oligopolies ▪ regulation ▪ privatisation / nationalisation ▪ removal of barriers • consequences of policy options, e.g. for ◦ research and development ◦ consumer and producer surplus ◦ productive and allocative efficiency ◦ dynamic, static efficiency ◦ barriers to entry ◦ scale economies ◦ national / international competitiveness ◦ employment.
Evaluation	Consideration of ◦ effectiveness of different types of policy ◦ effectiveness of individual policies ◦ intended and unintended consequences ◦ the option of allowing market forces to work without government intervention (the IBM / Microsoft argument). ◦ market vs govt failure ◦ contestability of market. <i>Examiners should note that, for some of the weaker or average students, parts of the above represent quite sophisticated evaluation</i>

	<i>and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• diagrams • an overall judgement on the issues raised

It will only be possible for students to consider a few of the above. They may also discuss issues not discussed above.

[25]

14.

For a relevant definition / description of property rights, e.g. a legally recognised right of ownership over a resource; or a definition of market failure.

For explaining how property rights can be lacking, e.g. on common land, on the high seas, in the atmosphere.

Pollution is an example of a negative externality. One failure is the pollution of a communal resource such as a piece of land, a lake or the atmosphere for any one example). Fresh air is a resource essential to life however the atmosphere can also be polluted by human activity. Because nobody owns the atmosphere the costs of pollution are external to the polluter and it is possible for an economic agent to pass these costs on to the wider community.

Another failure is the **depletion** of a communal resource, e.g. water reserves, fish stocks, wildlife, open spaces, and property rights incentivise conservation.

Make appropriate use of diagrams, e.g. an externality diagram.

[9]

15.

D

[1]

Issues and areas for discussion include

Introduction	• definition of market forces • distinction between insurance-based and tax-base systems • importance of the NHS 'free at the point of use' principle.
Developing the response to the question (Application)	• use of theory (monopoly, competition, efficiency) • discussion based on information from the data related to eg • practice in France • practice in Germany • practice in Spain • coordination across the EU (The EHIC) • US views of the 'European Model' • charging • internal markets • public-private partnerships.
Developing the response to the question (analysis)	• the nature of health services ◦ degree of monopoly; contestable markets ◦ imperfect/asymmetric information ◦ externalities • arguments for markets, eg ◦ rationing/signalling ◦ choice ◦ de-centralisation ◦ opportunity costs ◦ efficiency. • arguments against, eg ◦ market failure, externalities ◦ merit good ◦ income distribution ◦ imperfect information ◦ needs and wants ◦ economies of scale.
Evaluation	• efficacy of privatisation • critique of idea of increased choice for patients/competition between providers • bureaucracy of health reforms, eg doctors having to spend time commissioning services • comments on alternative arrangements, eg the German split between public, private, not-for-profit • possibility of 'cherry picking' by the private sector • NHS having to underwrite the private sector's errors, eg recent cases of implants • possibility that insurance leads to unnecessary procedures • economies/diseconomies of scale in the NHS • outcomes and results of PPPs • does the 'ownership' of assets and resources matter more than outcomes? • market failure versus government failure

	possibility that innovation in health care comes from government funded investment rather than private sector investment. <i>Examiners should note that, for some of the weaker or average students, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
--	--

Also give credit for	- diagrams - an overall judgement on the issues raised.
-----------------------------	--

It will only be possible for candidates to consider a few of the above. They may also discuss issues not discussed above.

[25]

Issues and areas for discussion include:

Introduction	• Definition/explanation of 'more responsive to market forces' • Basic reasons why governments of developed countries support agriculture.
Developing the response to the question (application)	NOTE: Students are not confined to discussion of direct intervention on farm prices; they can discuss government intervention anywhere along the supply chain (e.g. government attempts to modify the behaviour of supermarkets/powerful buyers), and they could then discuss effects working backwards along the chain to the farm source. • Comments from own economic knowledge or based on the data, eg • S & D theory (elasticities, shifts, potentially unstable prices; price support through quotas shifting S to left) • Possible policies for stabilising prices and incomes ◦ national government: competition policy, regulation ◦ EU level: quotas, intervention buying, buffer stocks ◦ milk as a staple foodstuff, an 'essential' ◦ effects of free trade and globalisation (imports are mentioned in Extract E) ◦ production and productivity (Extract F; further discussion of Extract D) ◦ intensity of production (mentioned in Extract F) ◦ economies of scale (Extract F)
Developing the response to the question (analysis)	• Arguments for markets, eg ◦ rationing/signalling ◦ consumer sovereignty and choice ◦ decentralisation ◦ opportunity costs ◦ efficiency ◦ problems with government failure. • Arguments against, eg ◦ market failure, externalities ◦ need for price and Income stabilisation ◦ imperfect information ◦ influence of supermarkets • changes in demand and supply conditions • globalisation, free trade • need for government to act as a broker between producers and retail sector.



Evaluation	• Market failure versus government failure • Consequences of government involvement (eg costs to the taxpayer) versus consequences of non-involvement (eg costs to the consumer; danger of a break in supply) • Free trade versus protection • Power of the supermarkets/small number of processors • Policy appropriate at national level or EU level? • Difficulties of identifying and acting for public interest/interests of consumers/producers • Unintended consequences, eg effects of quotas; milk as a raw material, impacting on many other industries; environmental side-effects of intensive farming • There is information in the data regarding Spain and UK which appears to indicate that quotas discourage economies of scale, and lifting quotas therefore increases efficiency. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• Diagrams/An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss issues not discussed above.

[25]

19.

Candidates can approach the question with a focus on the UK government or government in general. Either approach can gain full marks. Also, they can focus on 'externalities' or wider 'problems' of market failure.



Issues and areas for discussion include:

EXAM PAPERS PRACTICE

Introduction	• definitions/descriptions of, eg ◦ externalities ◦ positive and negative • clean water as a merit good • polluted water as a demerit good.
Developing the response to the question (Application)	• relevant use of theory, eg private costs, benefits, social costs, benefits • evidence from the data, eg reference to • pressures on drinking water • lowering of water tables • floods • polluted wells, sanitation • unnecessary waste (bottled water) • costs in terms of oil • private (personal) health benefits of clean water • external health benefits of clean water (avoidance of contagious disease) • environmental issues arising from above points
Developing the response to the question (analysis)	• wider environmental issues, and international comparisons, eg ◦ floods in Bangladesh, drought in southern Spain; ◦ Britain's case of universal drinking water (a result of infrastructure investment over generations). • discussion of water as a private/public/merit good • consequences of different views of the economic nature of water, in terms of government policy, eg • a private good implies privatisation and marginal cost pricing; a public good implies nationalisation and payment out of taxation • a merit good (clean water, good sanitation) implies social benefits exceeding private benefits and under supply/under consumption, and an argument for direct government provision or subsidy • a de-merit good (unfit water, poor sanitation) implies social costs exceeding private costs and over supply/over consumption, and an argument for government action to remove the negative externalities (eg making the polluter pay) • regulation versus de-regulation • policies for supply • policies for use.



Evaluation	• reasons why market failure/externalities/environmental grounds might be a reason for having a special view of the economics of water; eg water is ubiquitous and a fundamental part of the environment; a basic of life • use of markets to distribute water (eg trade in licences to abstract water) • inequality in buying power, eg utilities can pass costs of buying water along their supply chain to customers; smaller firms, eg farmers, cannot • providing sanitation and clean drinking water cost money, and there is a role for commercialisation (eg there is a debate in the UK about how water should be priced; there is clearly a consumer demand for water in plastic bottles) • balance of advantages and disadvantages of governments regarding water as a merit good • consideration of costs and benefits of, eg ◦ government action ◦ the bottled water industry ◦ alternative uses for water • role of government in general in water-related matters • role of UK government in particular • discussion of whether the UK has consistently regarded water as a 'merit good' ('water and sewerage' businesses have been privatised; however, they have also been strongly regulated) • market failure versus government failure <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• relevant diagrams • an overall judgement on the issues raised.

It will only be possible for students to consider a few of the above. They may also discuss issues not discussed above.

[25]

**21.**

- **Distinguishing between equity and equality**, eg basic definitions of equity (to do with 'fairness'), equality (to do with reducing 'differentials'/increasing opportunities/affecting outcomes).
- **Vertical equity**: The treatment of people in different income and wealth positions. Taxes can be progressive proportional or regressive. Switch to VAT is likely to be regressive because, assuming a wide range of goods and services are taxed, and as a general rule consumption expenditure represents a decreasing proportion of income the actual amount of tax paid will increase with expenditure but fall as a percentage of income.
- **Horizontal equity**: The treatment of people in similar earning positions. Policy effects depend on, eg the 'universality' or otherwise of the VAT, and whether, say, 'luxury' items can be identified and taxed at higher rates.
- **Equality**, eg it could be argued that the switch will affect life chances of both the better off and less well off by increasing 'incentives', and hence affect equality through trickle-down; or that the regressive nature of the switch and the resulting inequality is economically dysfunctional and will cause further inequality; or that the effects are neutral, and wealth taxes would have greater effects on equality than tinkering with income and expenditure taxes.
- Use of diagrams to help support explanations.

[15]

Issues and areas for discussion include:

Introduction	Definitions/descriptions of eg trade union, collective bargaining.
Developing the response to the question (application)	- Relevant use of theory, eg effects of collective bargaining - Evidence from the data, eg reference to - British trade unions (Extracts A, B) - Chinese experience (Extract C) - multinational behaviour, eg Walmart (Extract C) - candidate's own knowledge, eg relevant application of 'minimum wage' concepts to this particular context.
Developing the response to the question (analysis)	- Possible 'negative' effects of trade unions, eg - slow down productivity gains - reduce competitiveness, by, eg - increasing costs of production - reducing flexibility - creating barriers to exit from a market - Possible positive effects, eg - protect members' earning power - fight discrimination in the workplace - improve working conditions, eg - health and safety of employees - working hours and holiday entitlement - may <u>reduce</u> costs (easier to negotiate with a single entity) - Use of the perfect competition model in the labour market - Use of the imperfect competition model in the labour market.
Evaluation	- positive versus negative aspects - consideration of the value-laden word 'exploitation' in the question - challenging basic assumptions, e.g. that employers do not want to be part of a high wage industry, or that unions are not interested in flexibility or efficiency, e.g. through multi-skilling or training - consideration of when is a union not a union (critical view of the Chinese model) - role of government in general in trade union matters - role of UK government in particular - question the implication contained in the data (Extract C), that workers rights are incompatible with investment in and growth of businesses. <i>Examiners should note that, for some of the weaker or average students, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>

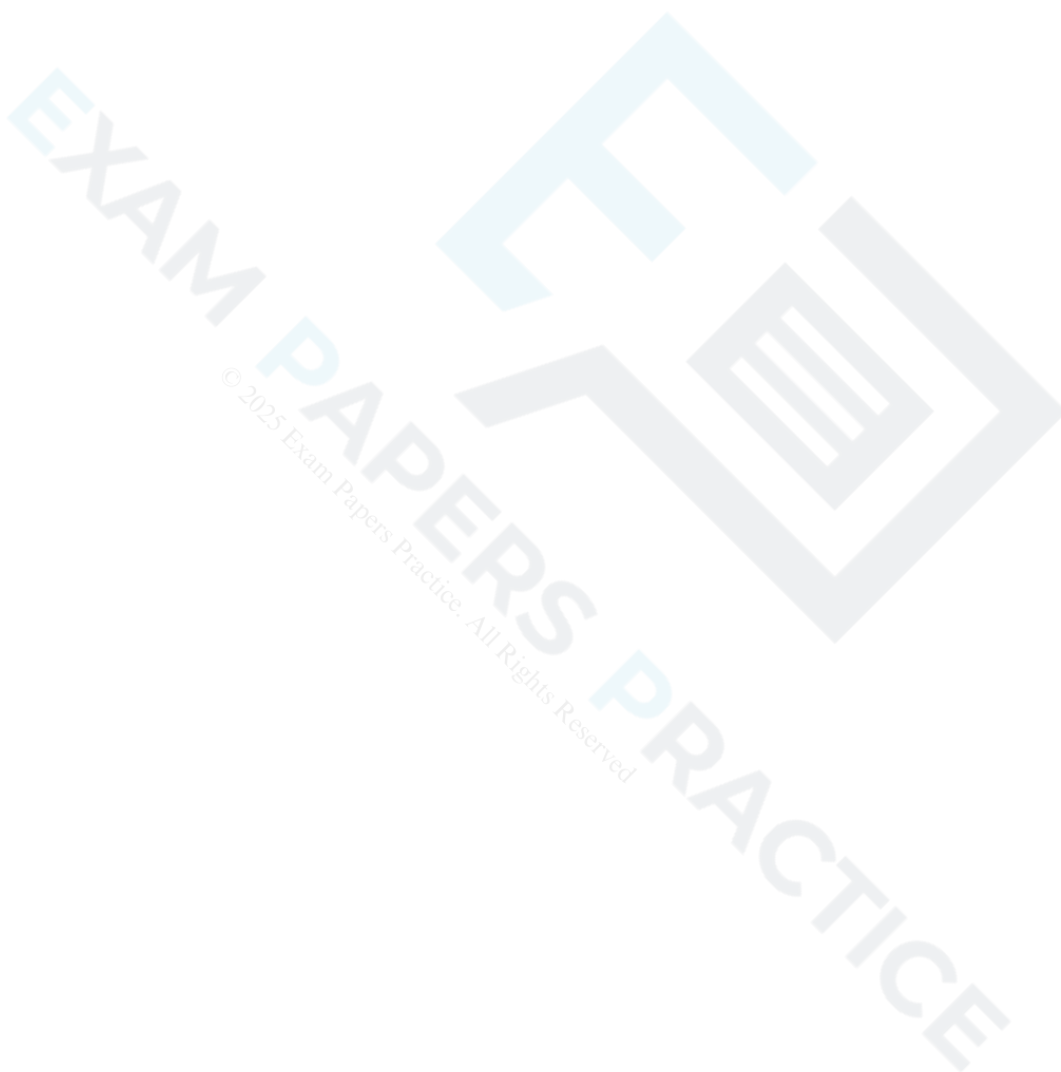


Also give credit for

- relevant diagrams
- an overall judgement on the issues raised.

It will only be possible for students to consider a few of the above. They may also discuss issues not discussed above.

[25]



Candidates can approach the question with a focus on the UK government or government in general. Either approach can gain full marks.

Issues and areas for discussion include:

Introduction	- Definitions/descriptions of, eg - absolute poverty - relative policy - welfare benefits.
Developing the response to the question (application)	- Comments from own economic knowledge or based on the data, eg - further comments on Extract A (international comparisons) - various reasons for poverty (Extract B), eg - child poverty - working poverty - labour market failure: lack of earning power due to skills, etc - trade unions in the labour market - dependence on state benefits to subsidise low wages - poverty and pensions (Extract C) 'social costs' of inadequate pensions (Extract C) - policies of other countries (Extract C).
Developing the response to the question (analysis)	- Re-distribution (taxes and benefits) and 'pre-distribution' (education, training, skills, life chances). Note; the phrase 'pre-distribution' need not be expected - Relationships between benefits and poverty - Low wages and poverty - Examples of policies on the supply side of the labour market, eg - education and training - minimum wage/living wage 'workfare' - Example of pensions as a merit good - pensions are not a public good, but they could be treated as if they were: arguments for/against - externalities imply under supply/under consumption, and an argument for direct government provision or subsidy.
Evaluation	- Different policies for the state sector and private sector - External influences, eg life expectancy, policies to balance government budgets, high income countries and low income countries - Spending on education and training: consumption or investment? - Market failure versus government failure, eg - poor/asymmetric information - markets tend to assess what is happening now, and are not good at looking ahead - governments can look ahead, but can make incorrect assumptions, or come up with inaccurate forecasts. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>

Also give credit for

- Relevant diagrams
- An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss issues not discussed above.

[25]

29.

Relevant issues/logical chains of analysis include:

- relevant explanation of market failure, e.g. in terms of markets failing to achieve socially optimum price or output
- there is a lack of consumer information . Consumers do not know when they are likely to need a pension. They might have a high rate of time preference, i.e. prefer current consumption to saving for future consumption, because pensionable age seems a long way off
- asymmetric information between consumers and pension providers (mis-selling of inappropriate pension products)
- strong externalities give pensions some characteristics of merit goods; there is an argument that they are more efficiently provided by the state
- inability of insurance-based pension providers to produce results in adverse economic conditions; e.g. falling pension fund returns due to low interest rates
- failure of occupational pension schemes due to weak regulation, the raiding of pension funds by directors during hard times
- appropriate use of diagrams, e.g. marginal private benefit, marginal social benefit

[9]

Issues and areas for discussion include:

Introduction	• Meaning of market failure • Reasons for and examples of market failure, eg ◦ distinction between public and merit goods ◦ positive and negative externalities ◦ public goods, merit goods • Reasons for and examples of government failure.
Developing the response to the question Application/ Analysis	• Policy options for public/merit goods ◦ taxation (the ability to pay principle) ◦ charging (the beneficial principle) ◦ subsidies ◦ direct government provision ◦ public/private partnerships • Opportunity cost • Efficiency arguments • Rationale for govt. intervention in providing MSC = MSB, therefore providing a socially optimum level • Consequences of policy options, eg ◦ consumer welfare and producer surplus ◦ national/international competitiveness ◦ prices, employment • Reasons for and examples of government failure • Discussion specific to the local TV station example
Evaluation	• effectiveness of different types of policy • intended and unintended consequences • the option of allowing market forces to work without government intervention (in the local TV case, challenging the apparent view of the minister that there is a 'missing market'); consumer sovereignty arguments) • problems of determining social optimum • market vs govt failure. <i>Examiners should note that, for some of the weaker or average students, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• diagrams • an overall judgement on the issues raised • examples.

It will only be possible for students to consider a few of the above. They may also discuss issues not discussed above.